‘A Bit of the Empire Striking Back’

By the time Ratan returned to India from the US at the age of twenty-four, he had become a strong votary of free enterprise. Two aspects of the US economy particularly impressed him—its resilience and innovativeness that continued to ensure its position as the world’s largest economy for more than a century, and its technological advantage that has made it the world’s pre-eminent industrial and military power.

Ratan lamented the lack of prospects for India to make swift economic progress under the then economic architecture. State controls had stymied economic growth in the country, with the government keeping a tight leash on industrial houses, controlling how, what and even where they produced their wares. Under the system, pejoratively termed as the ‘Licence Raj’ arbitrariness thrived and led to crony capitalism. It fed the meteoric rise of certain Indian industrial houses at the expense of others. Further, Indian industries were cradled and mollycoddled by state protection. They had a huge captive market as consumers were hamstrung by a Hobson’s choice. In this cushy environment, the rent-seeking Indian corporate houses had little reason to be efficient or steer outside the nation’s boundaries.

Ratan, however, chose the more onerous route. He eschewed the rent-seeking strategies that many corporates found profitable to follow. It cost the group dearly. But he chose not to compromise and despite severe headwinds, emerged successful. As he said: ‘What I feel most proud of is that we have been able to grow without compromising [on] any of the values or ethical standards that we consider important. … If we had compromised them, we could have done much better, grown much faster, and perhaps been regarded as much more successful in the pure business sense. But we would have lost the one differentiation that this group has against others in the country. We would have been just another venal business house.’

The Tatas had for long advocated diminished government control over the economy. After JRD, Ratan became the new face of the movement for dismantling the Nehruvian economic model. His appointment as chairman,